MARKET INTELLIGENCE RESEARCH

Daily Market Intelligence Briefing

After Close | Market date 2026-07-21 | Generated 2026-07-21T21:30:00+00:00

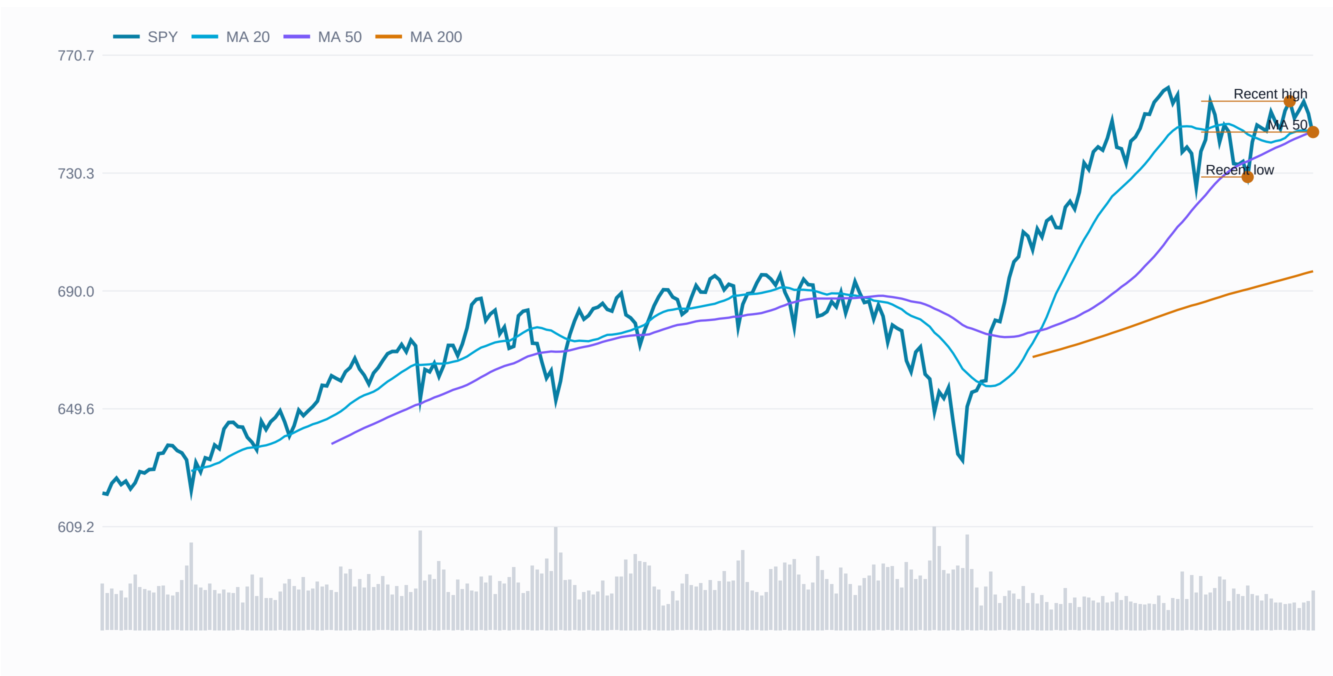
CURRENT POSTURE Selective Risk

The Selective Risk regime remains the primary operating frame. Index structure, participation, leadership led by Information Technology, and cross-asset proxy evidence should be used together; incomplete confirmation favors selective exposure and explicit invalidation levels.

CONFIRMATION	INVALIDATION
• Benchmark price holds above medium-term support while participation improves. • Leadership broadens beyond the current leading groups with confirming volume.	• Benchmark price breaks medium-term support while breadth deteriorates. • Credit and volatility proxies stop confirming the prevailing risk posture.

Figure 1. SPY Price, Trend and Volume

Adjusted daily observations with qualified moving averages | 260 sessions | As of 2026-07-17



Observation. SPY closed at 743.29, below its 50-day average of 744.38.
Interpretation. SPY remains a direct test of the report's market-structure thesis.
Confirmation. A close above the recent swing high with improving participation. **Risk.** A break below the medium-term average with deteriorating breadth.

Source: bars-polygon-spy | Quality: live; 100% complete

02 EXECUTIVE SUMMARY

Connect structure, participation, leadership, the selected research subject, cross-asset evidence and risk into one argument.

Baseline established. The primary thesis is conditional: market structure establishes the trend, breadth tests participation, leadership tests concentration, and supported cross-asset proxies provide confirmation or counter-evidence.

The major-index evidence should be read as a set rather than as isolated charts. The benchmark defines the primary structure, while growth, small-cap, and industrial benchmarks show whether that structure is shared across styles. Relative-strength ratios add a cleaner leadership test: improvement supports broader opportunity, while deterioration argues for narrower selection even when the benchmark remains firm.

Participation supplies the second layer of proof. Short-, medium-, and long-horizon breadth can disagree during transitions, so no single participation label is sufficient. Net advances and new-highs-versus-new-lows show whether daily internals are reinforcing the longer structure. Broadening across these measures would improve breakout reliability; continued divergence would favor smaller positions and higher entry standards.

Leadership evidence combines multi-period sector returns, constituent breadth, and rotation direction. Established leaders deserve continued attention only while their internal participation remains representative. Improving groups require persistence before promotion, and weakening leaders should not be defended solely because they remain highly ranked on a trailing horizon. Theme evidence is narrower and applies only to the reviewed active baskets.

No standalone research subject met the evidence and materiality threshold for this report.

Cross-asset evidence is confirmatory, not causal. Equity, bond, dollar, commodity, and high-yield ETF prices are compared on aligned dates, with bond and credit instruments explicitly treated as price proxies. Agreement can strengthen the risk posture; disagreement is a reason to keep the thesis conditional. Direct yields, credit spreads, and volatility term structure are unavailable and therefore do not appear as inferred substitutes.

The operating posture is selective. Setups deserve capital when their own price and volume evidence agrees with the broader market; disagreement is a reason to reduce size, wait for confirmation, or preserve liquidity. The next report should become more constructive only if benchmark structure and participation improve together. A break of medium-term support accompanied by weaker breadth and defensive cross-asset behavior would invalidate the current view.

SUPPORTED CLAIM	The Selective Risk regime remains the primary operating frame. Index structure, participation, leadership led by Information Technology, and cross-asset proxy evidence should be used together; incomplete confirmation favors selective exposure and explicit invalidation levels.
INTERPRETATION	The evidence supports a conditional posture rather than a broad causal conclusion.
TRADER IMPLICATION	Favor setups that confirm on price, participation, and volume; reduce risk when those signals diverge.

Evidence-Linked Checklist

METRIC	CONDITION	WHY IT MATTERS	ACTION
Benchmark structure	Hold qualified medium-term support	Tests whether the primary trend remains intact.	Maintain selective exposure while support holds; reduce risk on a confirmed break.
Market breadth	Short- and medium-horizon participation improve together	Tests whether index strength is broadly supported.	Become more aggressive only as participation broadens.

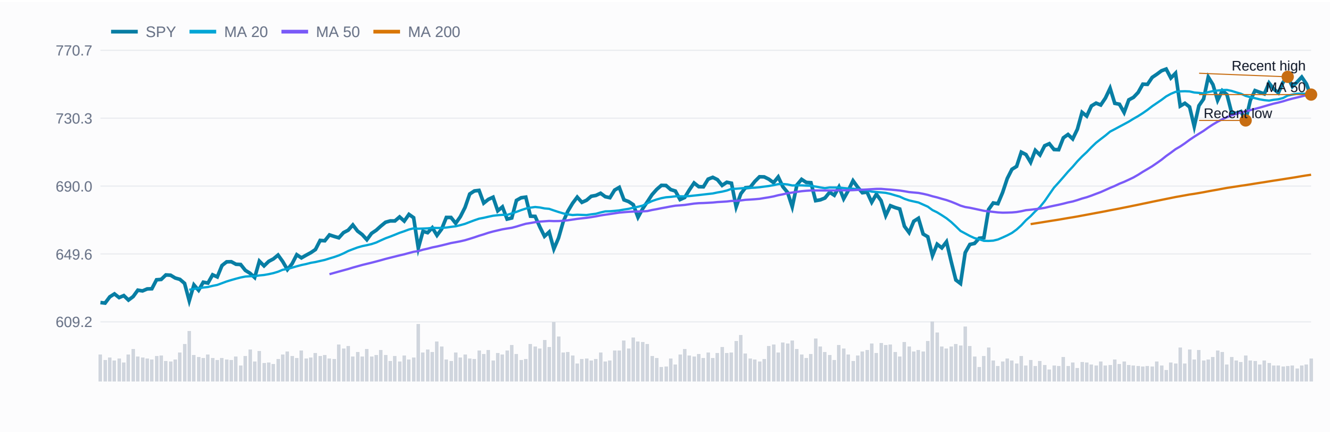
03 MAJOR INDEX STRUCTURE

Test trend quality across capitalization and style benchmarks.

Large index charts carry the structure argument. Moving averages are descriptive reference levels, while volume and relative ratios test whether apparent index strength is extending across styles.

Figure 1. SPY Price, Trend and Volume

Adjusted daily observations with qualified moving averages | 260 sessions | As of 2026-07-17

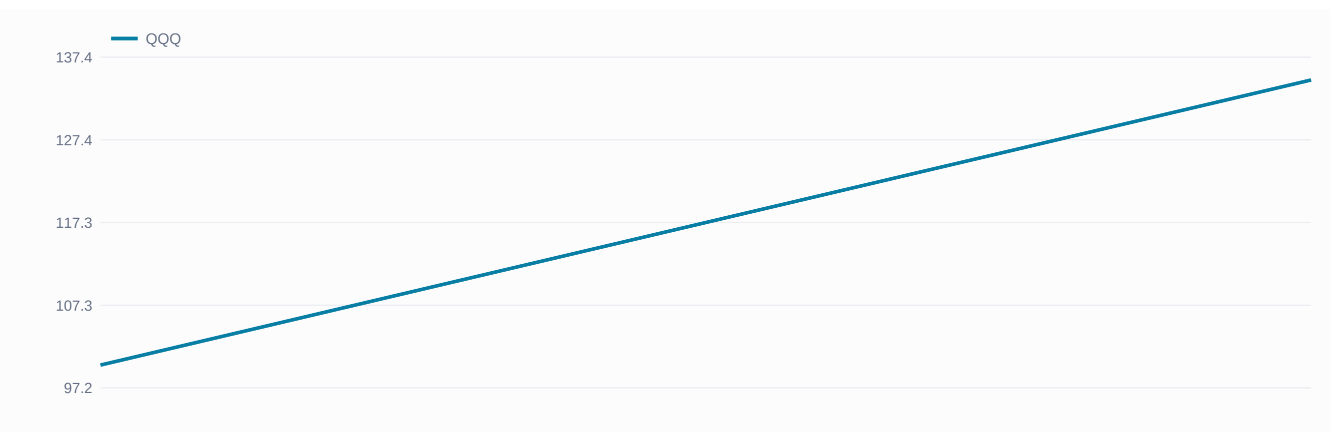


Observation. SPY closed at 743.29, below its 50-day average of 744.38.
Interpretation. SPY remains a direct test of the report's market-structure thesis.
Confirmation. A close above the recent swing high with improving participation. **Risk.** A break below the medium-term average with deteriorating breadth.

Source: bars-polygon-spy | Quality: live; 100% complete

Figure 2. QQQ Closing-Price Structure

Frozen report history; volume and session labels unavailable | 100 observations | As of 2026-07-21



Observation. The frozen report contains 100 QQQ closing-price observations.
Interpretation. The close-only series supports trend inspection but not volume or event alignment.
Confirmation. Durable dated OHLCV would strengthen the structure assessment. **Risk.** Do not infer volume confirmation from this close-only series.

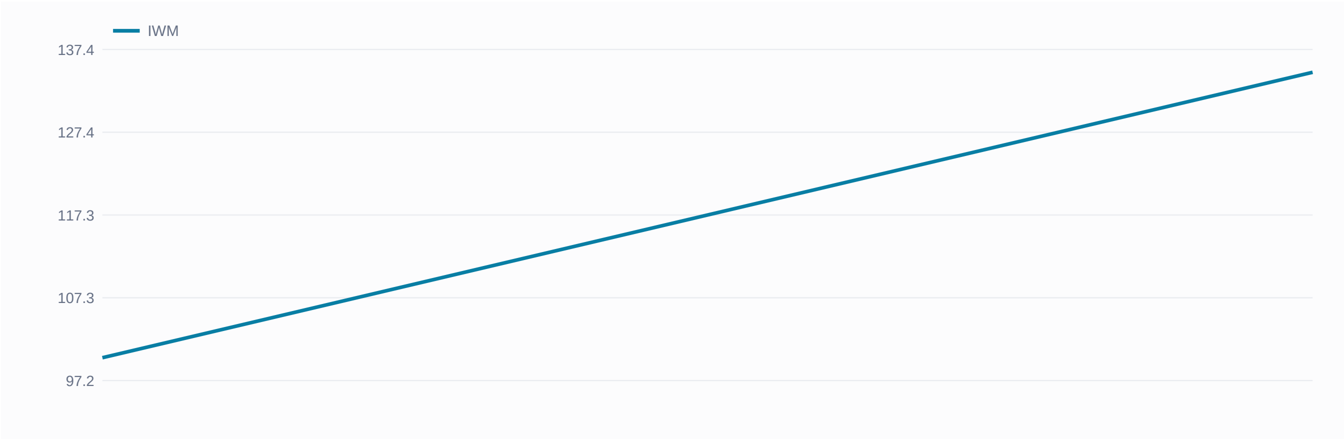
Source: report | Quality: partial; 50% complete

03 MAJOR INDEX STRUCTURE

Continued evidence

Figure 3. IWM Closing-Price Structure

Frozen report history; volume and session labels unavailable | 100 observations | As of 2026-07-21

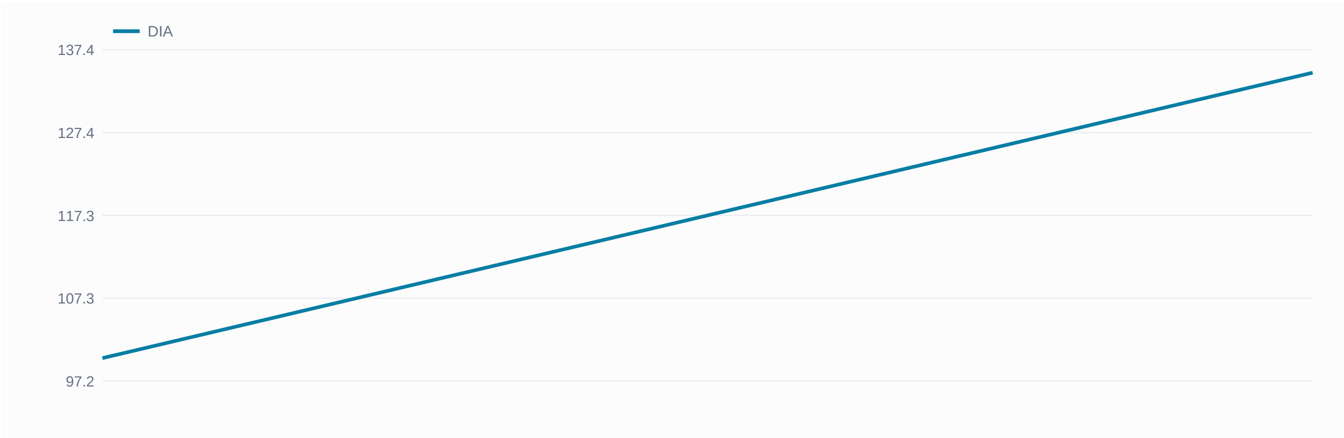


Observation. The frozen report contains 100 IWM closing-price observations.
Interpretation. The close-only series supports trend inspection but not volume or event alignment.
Confirmation. Durable dated OHLCV would strengthen the structure assessment. **Risk.** Do not infer volume confirmation from this close-only series.

Source: report | Quality: partial; 50% complete

Figure 4. DIA Closing-Price Structure

Frozen report history; volume and session labels unavailable | 100 observations | As of 2026-07-21



Observation. The frozen report contains 100 DIA closing-price observations.
Interpretation. The close-only series supports trend inspection but not volume or event alignment.
Confirmation. Durable dated OHLCV would strengthen the structure assessment. **Risk.** Do not infer volume confirmation from this close-only series.

Source: report | Quality: partial; 50% complete

05 LEADERSHIP AND ROTATION

Separate established leadership from emerging, weakening, and concentrated moves.

Multi-horizon returns identify persistence, rotation tails show direction, and constituent breadth tests whether ETF movement is representative. A quadrant label alone is not treated as sufficient evidence.

Evidence-Linked Checklist

METRIC	CONDITION	WHY IT MATTERS	ACTION
Leadership	Relative strength and constituent breadth agree	Separates durable leadership from concentrated ETF movement.	Favor groups with both price and participation confirmation.

Figure 5. Sector Return Map

Multiple horizons; missing observations remain blank | 1 day to 1 year | As of 2026-07-21

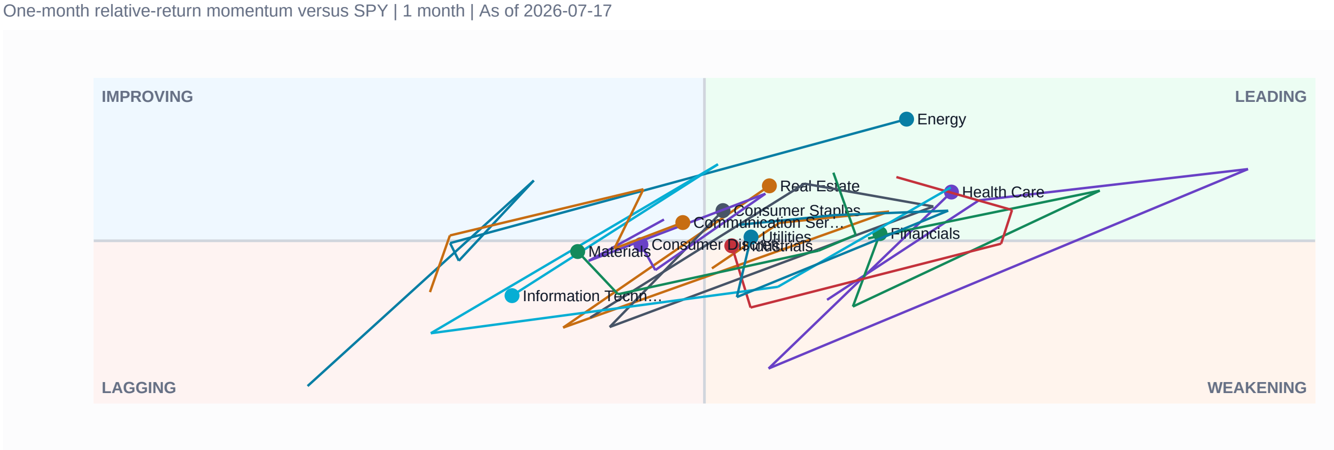
	1D	1W	1M	3M	6M	1Y
Industrials	+0.0%	+0.0%	+0.1%	+0.2%	+0.2%	+0.3%

Observation. The return matrix separates short-term movement from persistent multi-horizon leadership.
Interpretation. Leadership is more robust when relative performance and internal breadth agree across horizons.
Confirmation. Improving returns accompanied by stronger sector breadth would confirm sustainable rotation. **Risk.** Strong ETF returns with weak constituent participation would indicate concentration risk.

Source: sector-snapshot | Quality: partial; 9% complete

Figure 6. Sector Rotation with Tails

One-month relative-return momentum versus SPY | 1 month | As of 2026-07-17



Observation. Rotation tails show direction and persistence rather than only the latest quadrant.
Interpretation. Movement toward stronger relative performance and momentum provides confirmation; quadrant position alone is insufficient.
Confirmation. A sustained improving-to-leading path with qualifying sector breadth. **Risk.** A leading-to-weakening path accompanied by deteriorating participation.

Source: sector-rotation | Quality: live; 100% complete

08 RISK, VOLATILITY, CREDIT AND SENTIMENT

Describe current risk and its direction using available history.

Historical context is shown only from compatible immutable reports. Unsupported volatility term structure and spread histories are omitted, so the section distinguishes current observations from unavailable long-run evidence.

The principal risk is a joint deterioration in benchmark structure and participation. Current sentiment or risk scores are supporting observations only; they do not replace the price, breadth, and cross-asset confirmation framework.

SUPPORTED CLAIM	Current risk, sentiment, and participation are evaluated as separate observations; disagreement between them is treated as counter-evidence.
INTERPRETATION	A point-in-time score needs historical direction and cross-signal confirmation before it can support a stronger conclusion.
TRADER IMPLICATION	Keep position size conditional on benchmark support and participation rather than relying on a single risk score.

Evidence-Linked Checklist

METRIC	CONDITION	WHY IT MATTERS	ACTION
Risk proxies	Credit and defensive proxies do not contradict equities	Provides cross-asset confirmation without asserting causality.	Reduce size when cross-asset disagreement grows.

Figure 8. Market Evolution

Regime, health, breadth, risk and leadership from compatible reports | 3 reports | As of 2026-07-21

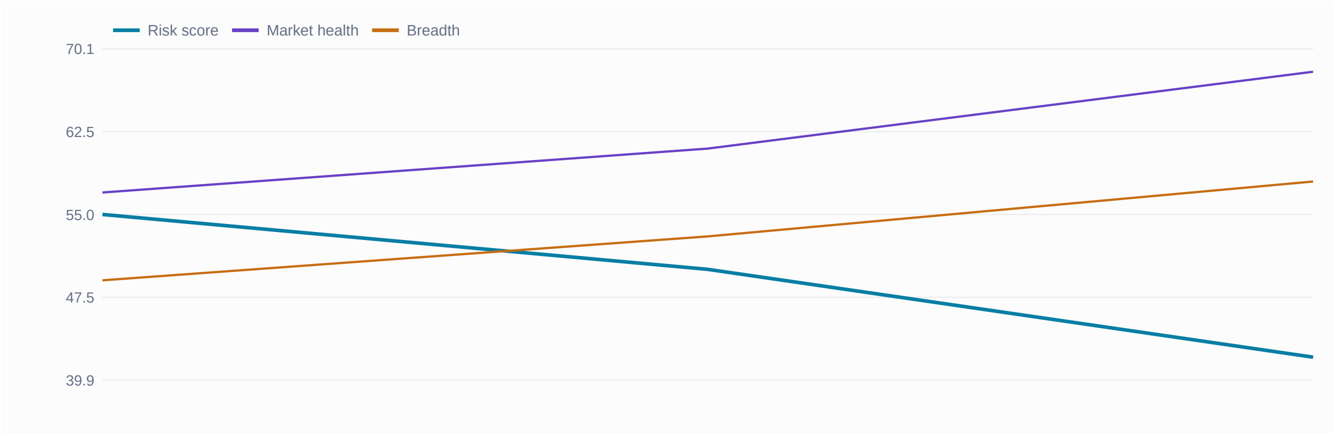
DATE	REGIME	HEALTH	BREADTH	RISK	LEADER	LAGGARD
2026-07-17	Range	57	49	55	Industrials	Utilities
2026-07-18	Selective	61	53	50	Technology	Utilities
2026-07-21	Selective Risk	68	58	42	Technology	Utilities

Observation. 3 compatible report observations are available; unavailable fields remain blank.
Interpretation. The timeline shows sequencing across supported market-state fields without filling missing history.
Confirmation. Improving health and breadth with contained risk would confirm a stronger market state. **Risk.** Rising risk or deteriorating breadth ahead of index weakness would increase caution.

Source: market-evolution | Quality: partial; 30% complete

Figure 7. Risk and Market-Health History

Compatible immutable report observations | 3 reports | As of 2026-07-21



Observation. The available history shows direction across compatible report-level risk measures.
Interpretation. A shallow history is context, not a long-run distribution.
Confirmation. Improving health with stable or falling risk would confirm the posture. **Risk.** Rising risk with falling health would weaken the thesis.

Source: report-history | Quality: partial; 30% complete

09 SCENARIO FRAMEWORK AND EVENTS

Translate prior evidence into conditional market paths and include only sourced events.

Scenarios use qualitative likelihood labels because no validated probability model is asserted by V7. Each path identifies confirmation, invalidation, leadership and operating response from evidence already introduced. Unsourced events are omitted.

PATH	REQUIRED CONDITIONS	OPERATING RESPONSE	INVALIDATION
Primary Primary	• Benchmark structure remains above medium-term support. • Breadth does not deteriorate materially. • Recent range and qualified moving averages • Medium-horizon participation stabilizes or improves	Remain selective and add risk only to confirmed setups. Use normal-to-reduced size according to setup quality and invalidation distance.	• Benchmark price breaks medium-term support while breadth deteriorates. • Credit and volatility proxies stop confirming the prevailing risk posture. • Volatility and credit proxies remain contained
Bullish Alternative Plausible alternative	• Benchmarks clear recent highs. • Participation broadens across horizons. • Close above the recent swing high • Short- and medium-horizon breadth rise together	Increase exposure gradually through confirmed entries rather than chasing extension. Scale only after confirmation and retain explicit stops.	• Breakout fails back into the prior range. • Credit proxy confirms equity strength
Bearish Alternative Tail risk	• Benchmarks lose medium-term support. • Participation and risk evidence deteriorate together. • Close below qualified medium-term support • Medium- and long-horizon participation decline	Reduce gross exposure, avoid weak breakouts, and preserve liquidity. Use reduced size or remain uncommitted until evidence stabilizes.	• Benchmarks reclaim support with improving breadth. • Risk history worsens or defensive proxies strengthen

11 NEXT-SESSION OPERATING PLAN

Convert the thesis and Research Focus into explicit monitoring and risk conditions.

The checklist links every condition to a metric, rationale and action implication. It avoids generic instructions and does not substitute for personalized investment advice.

Evidence-Linked Checklist

METRIC	CONDITION	WHY IT MATTERS	ACTION
Benchmark structure	Hold qualified medium-term support	Tests whether the primary trend remains intact.	Maintain selective exposure while support holds; reduce risk on a confirmed break.
Market breadth	Short- and medium-horizon participation improve together	Tests whether index strength is broadly supported.	Become more aggressive only as participation broadens.
Leadership	Relative strength and constituent breadth agree	Separates durable leadership from concentrated ETF movement.	Favor groups with both price and participation confirmation.
Risk proxies	Credit and defensive proxies do not contradict equities	Provides cross-asset confirmation without asserting causality.	Reduce size when cross-asset disagreement grows.

12 METHODOLOGY, SOURCES AND LIMITATIONS

Make provenance, transformations, research selection and unavailable evidence auditable.

All interpretations are system-generated from the frozen evidence registry. Figures cite provider or internal snapshot sources, carry timestamps and quality states, and omit unsupported series cleanly.

Research Focus Selection

FIELD	RESEARCH FOCUS SELECTION
Subject / classification	No standalone research subject met the evidence and materiality threshold for this report.
Score / relevance	Threshold 60.0 · relevance not applied
Evidence IDs	None
Omissions / limitations	2 candidates omitted · materiality_score_below_threshold, neutral_without_material_divergence

Numbered Source Registry

ID	PROVIDER	DATASET	AS OF
report	Internal snapshot services	Immutable daily report input	2026-07-21T21:30:00+00:00
snapshot-market	Internal snapshot services	Market snapshot market-v7	2026-07-21T21:30:00+00:00
snapshot-sector	Internal snapshot services	Sector snapshot sector-v7	2026-07-21T21:30:00+00:00
snapshot-theme	Internal snapshot services	Theme snapshot theme-v7	2026-07-21T21:30:00+00:00
bars-polygon-spy	polygon	SPY adjusted daily OHLCV	2026-07-18T13:56:46.369916+00:00
sector-snapshot	live	Sector snapshot sector-v7	2026-07-21
sector-rotation	Internal rotation engine	Adjusted sector ETF relative-return momentum	2026-07-17
research-sector	live	Frozen SectorSnapshot sector-v7	2026-07-21
research-theme	live	Frozen ThemeSnapshot theme-v7	2026-07-21
report-history	Internal report storage	Immutable prior daily report metrics	2026-07-21
market-evolution	Internal report storage	Compatible immutable report evolution	2026-07-21

Data Limitations

• Breadth history figures omitted because the referenced immutable BreadthSnapshot is unavailable.
• Direct Treasury yield and yield-curve histories are unavailable; ETF bond prices are labelled as proxies.
• High-yield and investment-grade spread histories are unavailable; HYG is labelled as a price proxy.
• IWM/SPY ratio omitted because aligned durable history is insufficient.
• No external research URLs, validated causal-attribution model, or historical analogues are available.
• Normalized cross-asset proxy figure omitted because fewer than two durable series qualify.
• QQQ/SPY ratio omitted because aligned durable history is insufficient.
• Security research is abbreviated because the frozen watchlist is empty.
• Theme histories use the current reviewed basket unless a versioned historical membership record exists.
• Unsourced economic and earnings event strings are excluded from V7.
• VIX history and term structure are unavailable as durable sourced series.

Report ID: daily-2026-07-21-v7-fixture | PDF: daily-report-pdf-v7 | Cutoff: 2026-07-21T21:30:00+00:00 | Completeness: 60%